

Changing Roles: Board and Staff under FPAS Mark II

Susanna Grigoryan

Recent Staff Member, Monetary Policy Department, Central Bank of Armenia

Student, Global Forecasting School

November 2025

Note

1. Analytical Context

FPAS Mark II was developed in response to rising structural uncertainty - including pandemics, geopolitical shocks, and nonlinear global dynamics. Traditional baseline-focused methods proved too rigid in an environment where shocks were persistent and interacted in complex ways. FPAS Mark II integrates risk-based policymaking within a coherent scenario framework, enabling decision-makers to compare alternative worlds rather than rely on a single deterministic forecast.

2. Board as Decision-Makers under Uncertainty

Under FPAS Mark II, Board members are decision-makers operating under uncertainty. Their responsibility is to assess the distribution of risks around the inflation target. Using the least-regrets mindset, they evaluate policy-relevant scenarios and consider how shocks could evolve depending on global conditions, domestic transmission channels, and behavioural responses.

The Board's goal is not to approve a single forecast but to choose the policy stance that minimizes potential losses if the world unfolds differently than expected. This approach anchors credibility: even when outcomes deviate from projections, the decision is justified based on prudent risk management.

3. Staff as Facilitators of Structured Analysis

The shift to FPAS Mark II significantly transforms staff roles. Rather than defending a baseline, staff act as facilitators of structured analysis. Their responsibilities include:

- Designing coherent scenarios using the 3R principle - Related, Relevant, Realistic.

- Quantifying these scenarios with nonlinear models incorporating endogenous credibility and convex Phillips curve dynamics.
- Presenting uncertainties and trade-offs clearly in the Executive Briefing.

Staff are no longer advocates of a single view but architects of the analytical framework, helping the Board understand trade-offs without prescribing decisions.

4. Institutional Learning and Human Capital

FPAS Mark II embeds continuous learning into the policy process. After each policy round, staff and Board conduct structured reviews of forecast errors, communication outcomes, and shifts in economic relationships. This feedback loop strengthens human capital, improves models, and enhances institutional credibility.

As described in *The Prudent Risk Management Approach to Price Stability* (Central Bank of Armenia, 2025), FPAS Mark II transforms forecasting from a one-off analysis into a dynamic, iterative process. Each round builds institutional memory and deepens analytical capacity.

5. Policy Implications

This evolution in roles yields three major benefits:

- **Transparency** - separating analysis from judgment clarifies responsibilities.
- **Adaptability** - scenario-based evaluation allows policy to adjust to uncertainty.
- **Credibility** - prudence becomes embedded in every stage of the policy cycle.

By aligning Board judgment with structured staff analysis, FPAS Mark II ensures disciplined, forward-looking policymaking.

The effectiveness of FPAS Mark II depends not only on its procedures and analytical structure, but also on the people who operate within it. The framework requires a culture of professionalism, disciplined reasoning, and constructive debate—both among the Board and within the Monetary Policy Department. While culture is often difficult to define, strong leadership and well-designed institutional arrangements can shape how the organization interprets information, deliberates, and makes decisions. Under FPAS Mark II, human capital becomes a central pillar of the framework's practical implementation.

6. Role of the Board

Formally, the Board's mandate is straightforward: to ensure that price stability is achieved over the medium term. In practice, this task becomes considerably more

complex in an environment of uncertainty and frequent shocks. FPAS Mark II equips the Board with a systematic risk-management framework, built on principles such as least-regrets, scenario analysis, and structured assessment of uncertainties. But for these principles to translate into effective decisions, the Board’s deliberative culture must evolve alongside the technical framework.

A key shift under FPAS Mark II is the move toward a culture of **adversarial collaboration**. The framework is designed to avoid groupthink and to encourage Board members to contribute independent perspectives. Each policymaking round begins with Board members submitting *Initial Macroeconomic Risk Assessments*: concise one-page documents outlining the risks, uncertainties, and scenarios they judge most important—subject to the 3R criteria. These submissions form the basis for the master scenario taxonomy used throughout the round. This arrangement ensures that individual concerns are represented and that differing views are incorporated into both internal deliberations and external communications.

The least-regrets framework reinforces this independence. When casting their votes, Board members may reach the same policy conclusion for entirely different reasons—for example, one member may emphasize domestic demand risks while another focuses on global financial conditions. FPAS Mark II explicitly allows for this diversity of reasoning. What matters is not uniformity of views, but that each member makes a disciplined assessment of which risks they would most regret materializing.

Accountability strengthens this system. Every Board member provides a written explanation of their vote, describing the risks that shaped their decision and how their preferred action helps manage those risks. These explanations are published alongside the policy decision. They give the public insight into differing views within the Board and reinforce a culture in which decisions must be justified in clear, coherent terms.

Taken together, these arrangements create a deliberative environment in which opposing views can coexist productively. Adversarial collaboration does not seek consensus for its own sake; rather, it allows diverse beliefs to inform a more robust risk-management process. This culture aligns with FPAS Mark II’s recognition that uncertainty is pervasive and that high-quality decisions emerge from structured debate, not from forced agreement.

7. Role of the Staff

While the Board is responsible for policy decisions, the Staff’s role is to support the Board with rigorous, objective economic analysis. Their task is not to advocate for a particular policy stance but to ensure that the Board has access to comprehensive, well-reasoned assessments of the economy and the uncertainties surrounding it. In many ways, the staff enable the Board to function effectively within a culture of adversarial collaboration.

High-quality analysis requires approaching every issue through the lens of uncertainty. Whether the topic is the output gap, labor market dynamics, inflation pressures, or external risks, staff must explore multiple hypotheses, consider alternative interpretations of the data, and articulate several coherent narratives. The aim is not to determine the single “correct” interpretation but to present the full range of plausible views that policymakers must consider.

This approach demands professionalism, critical thinking analytical rigor, and disciplined reasoning. Staff must be able to construct and explain coherent scenarios on different sides of an issue, applying the same level of care and consistency to each interpretation. This mode of analysis reflects the principles of “lateral thinking” described by Edward de Bono: separating judgment from evaluation, and deliberately examining issues from several angles before drawing conclusions.

A simple example illustrates this approach. When the unemployment rate rose from 13.1% to 15.5% in early 2024, the staff did not present a single explanation. Instead, they developed multiple hypotheses: one suggesting weakening labor market conditions, another showing that the rise was driven by labor supply dynamics rather than job loss, and a third reflecting a mix of these factors. Each hypothesis was examined using available data—including growth in registered employment and wage developments—and presented without judgment about the appropriate policy reaction. This allowed the Board to consider several scenarios and understand the risks associated with each one.

This division of responsibilities—staff providing a broad, unbiased analytical foundation and the Board making judgments—serves several important purposes. It reinforces the central role of uncertainty in the policy process, ensures that the Board is exposed to a full range of perspectives, and supports lively but structured deliberation. Ultimately, it enables decisions to be made according to the least-regrets and risk-management principles at the heart of FPAS Mark II.

Literature & Further Reading

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Script

Hello everyone, I’m Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. Welcome back to the CBA Academy Learning Hub. In this session, we’ll look at how the roles of the Board and the staff evolve under FPAS Mark II — the Prudent Risk Management Approach to Price Stability.

Under FPAS Mark I, most central banks relied on a single baseline forecast. Policy discussions revolved around one expected path for inflation and output, and decisions were evaluated largely against that forecast. As uncertainty in the global economy deepened — from pandemics to geopolitical shocks to nonlinear global dynamics — this deterministic approach became too narrow. FPAS Mark II replaces the single-path

mindset with a structured scenario framework. The focus shifts from trying to predict one future to managing risks across many plausible futures.

In this environment, Board members are true decision-makers under uncertainty. Their responsibility is not to endorse a forecast but to assess the distribution of risks around the economy. They weigh policy-relevant scenarios — the Market Reference, Case A, Case B, and others that meet the 3R criteria of being Related, Realistic, and Relevant. Using the least-regrets mindset, they consider how global developments, domestic transmission channels, and behavioral responses could evolve. Their task is to choose the policy stance that would minimize losses if the world unfolds differently than expected. This approach anchors credibility because decisions are justified by prudent risk management, not by the illusion of precision.

At the same time, the role of the staff has changed fundamentally. Under FPAS Mark I, staff tended to defend a baseline projection. Under FPAS Mark II, they act as facilitators of structured analysis. Their job is to design coherent scenarios using the 3R Principle, quantify them with nonlinear models that incorporate features like endogenous credibility and convex Phillips-curve dynamics, and present the trade-offs clearly in the Executive Briefing. Staff are no longer advocates of one view; they are the architects of the analytical framework that helps the Board understand the full range of possibilities.

Models remain essential tools, but their purpose has shifted. The value of a model is judged by whether it helps answer three core questions: Where is the economy today? What forces are driving its trajectory? And what does policy need to do to achieve the price-stability objective? Models that require heavy fixes or that generate unstable statistical outputs play a limited role. The focus is on models that reinforce human capital, improve understanding of transmission mechanisms, and help structure uncertainty — not on mechanical forecasting exercises.

The relationship between the Board and the staff becomes more collaborative and dynamic. Board members bring judgment, experience, and policy perspective. Staff bring structure, quantification, and clarity. Together, they develop a shared language for interpreting risks and evaluating policy choices. Policy rounds, scenario briefings, and continuous exchanges ensure that analysis and judgment evolve together.

This redistribution of roles did not happen in a vacuum. FPAS Mark II emerged from recognizing that modern central banking must adapt to persistent uncertainty. By embedding risk-based policymaking within a scenario-driven structure, FPAS Mark II enables decision-makers to compare alternative worlds rather than rely on a single deterministic path.

For Board members, this means evaluating the full distribution of risks. Each policymaking round begins with the Initial Macroeconomic Risk Assessments — the one-page documents where Board members list the scenarios and uncertainties they believe matter most. These submissions shape the master taxonomy of scenarios for the round and ensure that each member’s concerns are taken seriously. When voting on the policy rate, Board members may reach the same decision for different reasons, reflecting their own assessments of the risks they would most regret. These individual explanations, published alongside the policy decision, reinforce accountability and allow the public to understand how different perspectives contributed to the outcome.

For staff, the analytical responsibility is equally significant. Their role is to prepare the scenario taxonomy, test multiple hypotheses on each key issue, and present a balanced assessment of the uncertainties. They must analyze data from several angles — without bias, without defending a preferred interpretation, and without implying a single correct answer. This approach reflects the logic of lateral thinking: examining issues comprehensively, acknowledging uncertainty, and helping the Board consider the full range of plausible outcomes.

FPAS Mark II also transforms forecasting into an ongoing institutional learning process. Every policy round includes a structured review of forecast performance, market interpretations, and communication outcomes. These reviews feed directly into the next round, strengthening models, improving communication, and deepening institutional expertise. Over time, this continuous learning process builds credibility — not through perfect predictions, but through demonstrated discipline and openness.

The evolution in roles under FPAS Mark II delivers three essential benefits. It increases transparency by clarifying the distinction between analysis and judgment. It strengthens adaptability by allowing policy **to respond to uncertainty rather than resist it**. And it supports credibility by embedding prudence, structure, and accountability in every stage of the policy cycle.

In short, FPAS Mark II transforms the institution. Board members make decisions under uncertainty. Staff provide the analytical structure that enables robust deliberation. Models support human judgment without substituting for it. Together, this forms the core of the Prudent Risk Management Approach to Price Stability — a living framework where every policy round reinforces institutional credibility.

Thank you for watching, and I would like to acknowledge Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze at the Global Forecasting School for their guidance and support in producing this video.

See you in the next video!